

## **Syllabus for Econ 102, Principles of Macroeconomics**

(This version: January 26, 2010)

**Yao Tang, Spring 2010**

**Department of Economics**

**Bowdoin College**

**Lecture time:** T 8:30 - 9:55, TH 8:30 - 9:55

**Place:** Searles-217

### **Contact information**

office: Hubbard 102

office hours: T 1:00-2:30 pm, W 1:00-2:30 pm, or by appointment.

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Please note, I may not check emails frequently during evenings and weekends.

### **Course Description and Objectives**

Macroeconomics concerns itself with the aggregate behavior of the economy. For most students, Econ 102 is the first course (and maybe also the last!) they take in macroeconomics. Materials covered in this course will prepare students for further study of economics. For those who do not continue to pursue economics, this course will also offer valuable knowledge useful in one's life.

The course will begin by looking into the measurement of key macroeconomic variables: national output, inflation and unemployment. We will then examine the determination of output in the long run and short run, and whether economic policies can mitigate short run fluctuations. Time permitting, we will also discuss the open economy topics of exchange rate.

### **Textbook and Reading Materials**

Required textbook: Frank and Bernanke, *Principles of Macroeconomics*, 4th edition, McGraw-Hill Irwin. Besides learning from the text, it is important to apply the principles to understand macroeconomic news. I will provide on Blackboard a list of readings extracted from news media and other sources as the semester progresses. In some cases, they will be integrated into your assignments.

### **Quantitative Reasoning program**

Youle Kang will be the QR program study group leader for this course. He will hold regular sessions for students who seek extra work on quantitative skills that are useful in this course.

### **Web information**

All information, including information about reading materials, will be posted on the Blackboard web page for Econ 102B, accessible at <http://blackboard.bowdoin.edu/>.

### **Evaluation**

Your grade will be the greater of

1. assignments score \* 15% + quizzes score \* 10% + midterm exam score \* 30% + final exam score \* 45%
2. assignments score \* 15% + quizzes score \* 10% + final exam score \* 75%.

There will be periodic assignments throughout the semester. Some of the assignments are individual assignments, meaning that each student must hand in a copy of the answers. Other assignments are group assignments, where a group of students (up to a maximum of three people) submit a single copy. The idea behind having two types of assignments is to encourage peer learning while keeping track of individual progress in the course. Before the solutions are posted, late submissions are acceptable at a penalty of 10%. Throughout the term, I will give two to three short in-class quizzes to check student understanding of course materials. An in-class midterm will be given on October 20th. Makeup exams can only be arranged in advance for family or medical emergencies. The final will be cumulative. According to the college registrar, the final exam period is between December 15th and 21st.

### **Academic Honesty**

Students should be familiar with the Bowdoin College Academic Honor Code, available at <http://www.bowdoin.edu/studentaffairs/student-handbook/college-policies/index.shtml>. In particular, for the individual assignments, students are encouraged to work together but they must each hand in their own copy of answers.

## Tentative Schedule of Topics

Please note I reserve the right to change the order of topics, or to drop topics from the list. However, I will not add new topics.

1. January 26, Course introduction
2. Key macroeconomic variables
  - January 28, GDP, Chapter 4  
The New York Times, Commission Calls for New Economic Yardstick, by David Jolly  
J. Steven Landefeld, GDP: One of the Great Inventions of the 20th Century  
The Wall Street Journal, U.S. GDP Revised Downward Again, by Luca Di Leo and Meena Thiruvengadan
  - February 2, Inflation, Chapter 5
  - February 4, Unemployment, Chapter 6  
The New York Times, For Victims of Recession, Patchwork State Aid, by Jason DeParle  
The Christian Science Monitor, Unemployment wild card: the 577,000 who gave up job hunts, by Ron Scherer
3. Economic growth in the long run
  - February 9, The importance of economic growth, Chapter 7
  - February 11, Sources of growth, Chapter 7
  - February 16, Factor accumulation, Chapter 7
  - February 18, Sources of sustained growth: technology, Chapter 7
4. Saving, capital formation, financial markets and money
  - February 23, Private saving, Chapter 8  
The Wall Street Journal, Why Consumers Are Likely to Keep on Saving, by Mark Gongloff
  - February 25, National saving, the determination of real interest rate, Chapter 8
  - March 2, Money, Chapter 9  
The Wall Street Journal, China Hits Brakes on Economic Stimulus

- March 4, Bonds and stocks, Chapter 9
- March 9, The financial market and the Federal Reserve Bank, Chapter 12  
The Economist, Small business, big problem  
The New York Times, Fed Missed This Bubble. Will It See a New One? by David Leonhardt

5. March 11, Midterm

6. The economy in the short run

- March 30, Short run fluctuations, Chapter 10
- April 1, Spending and output in the short run: the basic Keynesian model, Chapter 11
- April 6, Output stabilization and policy in the basic Keynesian model, Chapter 11
- April 8, A critical review of the basic Keynesian model, Chapter 11
- April 13, The debate about the fiscal policy  
The Economist, Much ado about multipliers  
The New York Times, New Consensus Sees Stimulus Package as Worthy Step, by Jackie Calmes and Michael Cooper  
The Wall Street Journal, Missing the Target, by Martin Feldstein
- April 15, Introducing the central bank: the modified Keynesian model, Chapter 12  
The New York Times, Bernankes Bid for a Second Term at the Fed Hits Resistance, by Sewell Chan and David M. Herszenhorn  
The Economist, Policy punchbags  
The Wall Street Journal, The Fed Is Already Transparent, by Anil K. Kashyap and Frederic S. Mishkin
- April 20, Monetary policy rule, Chapter 12  
The Wall Street Journal, China Raises Key Interbank Rate  
The Wall Street Journal, Bernanke Stands Firm on Rates, by Jon Hilsenrath  
The New York Times, Bernanke and the Beast, by N. Gregory Mankiw  
The Wall Street Journal, Fed Chief Edges Closer to Using Rates to Pop Bubbles, by Jon Hilsenrath and Luca Di Leo
- April 22, The AS-AD model, Chapter 13
- April 27, The role of market in the AS-AD model, Chapter 13

- April 29, Economic policy in the AS-AD model, Chapter 13

## 7. Open economy topics

- May 4, Exchange rate: Purchasing Power Parity, Chapter 15
- May 6, Exchange rate: Interest Rate Parity, Chapter 15
- May 11, Overflow